His call has to be heeded.

Disinvestment is another project that the government seems to have gone slow on. Save Air India, the Centre has not been able to disinvest enterprises it had listed in 2021—BPCL, Shipping Corporation of India, Container Corporation of India, IDBI Bank, BEML, Pawan Hans and Neelachal Ispat Nigam. Instead, more money is being pumped into these companies, some of which are ailing. Take MTNL, for example. Its losses were Rs 890 crore in September 2024 and total debt Rs 32,145 crore, 40 times its income, forcing it to default on a repayment of Rs 5,774 crore. The yearly average of disinvestment from 2021 to 2025 is barely Rs 25,000 crore, half of what the Modi government achieved annually between 2014 and 2020. And frequent though is the talk of the opportunity that has opened up for India in the wake of the western world's China+1 policy, our exports need to become much more competitive if India has to play a more prominent role in the global supply chains. That would require better flow of credit to exporters, lowering logistics costs, improving the marketing efforts on our products, and a currency with a more realistic value.

Labour too remains a continuing concern, with reforms in a long limbo. The country passed four new labour codes five-six years ago—Wages (2019), Industrial Relations, Social Security and Occupational Safety, Health and Working Conditions (all in 2020)—but they have yet to be implemented. Plans for any drastic overhaul in agriculture have also been put on the backburner, following the uproar the government faced to its farm laws the last time. The laws governing Agricultural Produce Market Committee (APMC) mandis are crying for reform, contract farming a better framework and community-owned agriculture some policy support.

Given that the government's to-do list is unending, Budget 2025 does tick off a few crucial items on it. But the best-laid plans come a cropper if their implementation is tardy. And that is where the Modi government should now centre all its effort. Accelerate on all the reforms it has suggested in the budget and maybe beyond them too. ■

GST

WANTED: A GOOD AND SIMPLE TAX



AGRICULTURE

UNTYING THE AGRI KNOTS

Today, 43 per cent of the country's population is dependent on agriculture—including animal husbandry, fisheries and horticulture. But the sector generates only 17 per cent of the country's GDP, having ambled along at a CAGR of 3.3-3.5 per cent for the past 25 years, about half the pace of the overall GDP. To sustain this imbalance, the country has to spend around 2 per cent of its GDP as subsidies. Things being as they are, in hindsight, many policymakers believe it was perhaps a tad early to push farmers towards private capital—as conceived in the repealed 2020 farm laws—and that infrastructure has to be in place to allow farmers to sell produce wherever they want.

In short, what is needed is a more focused approach. Top of the list are reforms in the laws governing the 6,639 agricultural produce market committee (APMC) mandis, an enabling ecosystem for contract farming, strengthening the framework for setting up private mandis, speeding up the

Illustrations by RAJ VERMA